

25TRCV03911 25TRCV03911

County: los-angeles

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Case Number: 25TRCV03911 Hearing Date: July 27, 2026 Dept: 5

Superior Court of California

County of Los Angeles – SOUTHWEST District

Department

5

ARDALAN OOSHANI

;

Plaintiff,

vs.

AMIN SHAD

;

Defendant.

Case

No.:

25TRCV03911

Hearing

Date:

July
27, 2026

Time:

8:30 a.m.

[tentative]

Order RE:

(1)

DEFENDANT AND CROSS-COMPLAINANT AMIN SHAD'S

MOTION TO STRIKE IMPROPERLY FILED ATTORNEY-CLIENT PRIVILEGED COMMUNICATIONS,
OR, IN THE ALTERNATIVE, TO LIMIT THEIR USE, AND FOR PROTECTIVE RELIEF,
INCLUDING SEALING, IF NECESSARY

(2)

PLAINTIFF

AND CROSS-DEFENDANT ARDALAN OOSHANI'S MOTION FOR LEAVE TO FILE FIRST AMENDED
COMPLAINT

Motion

to Strike

MOVING PARTY: Defendant and Cross-Complainant,
Amin Shad

RESPONDING

PARTY: Plaintiff and Cross-Defendant,
Ardalan Ooshani

Motion

for Leave to File

MOVING PARTY: Plaintiff and Cross-Defendant,
Ardalan Ooshani

RESPONDING

PARTY: Defendant and

Cross-Complainant, Amin Shad

(1)

Defendant

and Cross-Complainant Amin Shad's Motion to Strike Improperly Filed Attorney-Client Privileged Communications, or, in the Alternative, to Limit their Use, and for Protective Relief, Including Sealing, if Necessary is DENIED pursuant to Code of Civil Procedure section 527, subdivision (a).

(2) Plaintiff and Cross-Defendant Ardalan

Ooshani's Motion for Leave to File First Amended Complaint is GRANTED pursuant to Code of Civil Procedure section 527, subdivision (a).

Regarding the motion to

strike, the Court considers the moving papers filed on April 13, 2026, the opposition brief filed on July 8, 2026, the supplemental opposition brief filed on July 13, 2026, and the reply brief filed on July 13, 2026.

Regarding the motion for leave

to file, the Court considers the moving papers filed on June 30, 2026, the opposition brief filed on July 14, 2026, and the reply papers filed on July 20, 2026.

BACKGROUND

Factual Background

On November 18, 2025, plaintiff Ardalan Ooshani filed the Verified Complaint ("Complaint") against defendants Amin Shad and DOES 1 through 5.

The Complaint includes the following causes of action: (1) Declaratory Relief; (2) Temporary Restraining Order (Ex Parte) and Preliminary Injunction Relief; (3) Breach of Fiduciary Relief; (4) Civil Damages; (5) Conversion and Unauthorized Control; (6) Accounting (Equitable); (7) Constructive Trust; and (8) Unjust Enrichment.

On December 29, 2025, Shad

filed a Cross-Complaint against Ooshani. The Cross-Complaint includes the following causes of action: (1) Breach of Fiduciary Duty; (2) Breach of Contract (Operating Agreement and Related Obligations); (3) Conversion; (4) Violation of

Penal Code § 502 (Computer Data Access and Fraud Act); (5) Intentional Interference with Prospective Economic Advantage; (6) Unfair Competition (Bus. & Prof. Code § 17200 et seq.); (7) Declaratory Relief; (8) Injunctive Relief; and (9) Financial Obligations and Damages.

MOTION TO STRIKE

Legal Standard

Any party, within the time allowed to respond to a pleading, may serve and file a notice of motion to strike the whole or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1).) The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded”].) The court may also strike all or any part of any pleading not drawn or filed in conformity with California law, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b).) An immaterial or irrelevant allegation is one that is not essential to the statement of a claim or defense; is neither pertinent to nor supported by an otherwise sufficient claim or defense; or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)

Discussion

In his moving papers, Shad seeks the following court orders: (1) “Strike or alternatively, limit their use of the privileged communications [in Exhibit K] from the record[.]” (2) “Preclude their use in this litigation absent further order[.]” (3) “Issue protective relief, including restrictions on dissemination; and” (4) “Grant such further relief as appropriate, including sealing if necessary.” (Motion, p. 4:23-26.) However, in his reply, Shad withdraws his initial request to strike and instead proposes that the court order that: (1) Ooshani “may rely, subject to ordinary evidentiary objections, on final government filings, the Public Access File, business records, and [Shad's] own

non-attorney communications;" (2) Ooshani "may not quote, paraphrase, characterize, rely upon, or further disseminate the attorney-authored legal advice as proof that [Shad] resigned, amended the Operating Agreement, transferred managerial authority, or waived governance rights;" (3) "the Court decline to consider [Ooshani's] summaries or characterizations of those identified attorney communications for those governance propositions; and (4) "alternatively, if the Court concludes that a different procedural vehicle is required, the Court deny only the striking or sealing request without prejudice and expressly preserve [Shad's] privilege, relevance, hearsay, foundation, Evidence Code section 352, and other evidentiary objections."

(Reply, pp. 3-4.)

Shad submits these requests in accordance with Code of Civil Procedure sections 128, subdivision (a), and 436.

(Motion, pp. 2-3.) However, neither of these sections applies to the relief being sought. Code of Civil Procedure section 436 pertains solely to motions to strike, which Shad is no longer pursuing. Shad asserts that the Court "possess inherent authority, as well as authority under Code of Civil Procedure section 128(a), to control their proceedings and to prevent misuse of privileged material[.]" (Motion, p. 3.) The Court partially agrees. Although it has the authority to ensure the orderly conduct of proceedings, Code of Civil Procedure section 128, subdivision (a), does not specifically address privileged materials. (Code Civ. Proc., § 128, subd. (a)(4).) To the extent that the Court may act to prevent the misuse of privileged materials, it must adhere to the provisions of Code of Civil Procedure section 187.

"When jurisdiction is, by the Constitution or this Code, or by any other statute, conferred on a Court or judicial officer, all the means necessary to carry it into effect are also given; and in the exercise of this jurisdiction, if the course of proceeding be not specifically pointed out by this Code or the statute, any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this Code." (Code Civ. Proc., § 187.) Consequently, it follows that "courts must tread carefully when exercising their inherent authority to fashion new procedures. We may not sanction procedures of dubious constitutional validity. [Citation.] Nor may we bless procedural innovations inconsistent with the will of the Legislature or that usurp the Legislature's role[.]" (People v. Lujan (2012) 211 Cal.App.4th 1499, 1507, internal citations omitted.)

In this instance, Shad's requests appear to encroach upon the

authority of the Legislature. Numerous statutes and California Rules of Court delineate the processes for motions to seal or for protection. The court need not establish a new remedy when such an action would disregard legislative intent. As Shad fails to reference any applicable statutes or California Rules of Court, the Court is unable to grant the requested relief.

Accordingly, the Court DENIES Shad's motion.

MOTION FOR LEAVE TO AMEND

Legal Standard

"A court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading[.]" (Code Civ. Proc., § 473, subd. (a)(1).) Moreover, "[a]ny judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order." (Code Civ. Proc., § 576.) The court's discretion will usually be exercised liberally to permit amendments of the pleadings. (*Nestle v. City of Santa Monica* (1972) 6 Cal.3d 920, 939.)

A motion for leave to amend a pleading must also comply with the procedural requirements of California Rules of Court, rule 3.1324. "A motion to amend a pleading before trial must ... [s]tate what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and [s]tate what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located." (Cal. Rules of Court, rule 3.1324(a).) The declaration must also specify the amendment's effect, why it is necessary and proper, when the facts supporting the amended allegations were discovered, and why the request was not made earlier. (Cal. Rules of Court, rule 3.1324(b).)

If the party seeking the amendment has needlessly delayed, and the delay has prejudiced the opposing party, the court has the discretion to deny leave to amend. (See *Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490.) Prejudice exists where the amendment would require delaying the trial, resulting in loss of critical evidence, or added costs of preparation. (*Solit v. Tokai Bank, Ltd. New York Branch* (1999) 68 Cal.App.4th 1435, 1448.)

Discussion

Pursuant to California Rules of Court, rule 3.1324, Ooshani submits a copy of the proposed first amended complaint ("FAC"). (Declaration of Ardalan Ooshani ("Ooshani Decl."), Exh. 1.) Shad asserts that this document does not delineate the specific changes made, as required by California Rules of Court, rule 3.1324(a). (Opp., p. 3:7-11.) However, the Court observes that Ooshani explicitly informs both the Court and Shad that the proposed FAC introduces LPWAN HOLDING INC. and ELLENEX PTY LTD as new defendants and incorporates "allegations concerning the transfer of Company funds to LPWAN HOLDING INC. (proposed First Amended Complaint, paragraphs 27 through 28, 30, and 32), the activities of ELLENEX PTY LTD and LPWAN HOLDING INC. in connection with the Company's North American distribution and customer relationships (paragraphs 33, 35, 56, and 58), and five related causes of action against the new and existing defendants: Breach of Exclusive Distribution Agreement (paragraphs 88 through 95); Intentional Interference with Prospective Economic Advantage (paragraphs 115 through 122); Aiding and Abetting Breach of Fiduciary Duty / Receipt of Misappropriated Assets (paragraphs 138 through 145); Constructive Fraud (paragraphs 146 through 154); and Intentional Interference with Contractual Relations (paragraphs 155 through 162)." (Ooshani Decl., ¶ 3, Exh. A; Motion, pp. 4:9-5:2.) Furthermore, the Court observes that Ooshani has removed the second cause of action for Temporary Restraining Order (Ex Parte) and Preliminary Injunction. (Ooshani Decl., ¶ 3, Exh. A; Motion, p. 5:3-6.)

Next, Shad contends that the Court should deny this motion because Ooshani's declaration does not comply with California Rules of Court, rule 3.1324(b), for failing to disclose when the facts underlying the amended allegations were discovered. (Opp., p. 3:12-15.) Nevertheless, the Court recognizes that while Ooshani does not provide an exact date for the discovery of the relevant

information, he asserts that he “discovered the facts giving rise to the amended allegations over time, and [he] obtained the proof necessary to plead them responsibly after the original Complaint was filed on November 18, 2025.” (Ooshani Decl., ¶ 5.) Furthermore, Ooshani explains that he delayed including these allegations until he had gathered sufficient evidence to substantiate them, and subsequently filed his initial motion for leave to amend on May 18, 2026. (Ooshani Decl., ¶¶ 5-6.) Given that California Rules of Court, rule 3.1324(b) does not require exact dates, the Court finds the provided explanations sufficient to clarify the timeline regarding the discovery of the facts leading to the amendments, as well as the justification for the delay in the amendment request until May 18, 2026.

Moreover, Shad contends that Ooshani’s omission of specific details regarding his knowledge of the pertinent facts is significant, particularly because Ooshani allegedly possessed this information beforehand. (Opp., p. 3:17-22.) Nonetheless, Shad does not point to any evidence indicating that Ooshani had prior knowledge of this information or that he unreasonably delayed its inclusion to the detriment of Shad. Consequently, the Court finds Shad’s argument unconvincing.

Additionally, Shad maintains that the motion should be denied on several substantive grounds: (1) the proposed FAC improperly combines personal and company claims; (2) it names an entity with no connection to 10SOREX or Ooshani; (3) the LPWAN transfers reflect documented supplier payments that Ooshani was aware of; and (4) Ooshani’s allegations lack the known commercial and cash-flow context. (Opp., pp. 3:24-5:9.) However, the Court emphasizes that these arguments are improper in a motion for leave to amend. These concerns should instead be addressed in a demurrer, motion to strike, motion for judgment on the pleadings, motion for summary judgment, or other appropriate legal pleadings. (Kittredge Sports Co. v. Superior Court (1989) 213 Cal.App.3d 1045, 1048.)

Finally, Shad asserts that he would encounter prejudice as a result of this amendment for several reasons: (1) the new claims would necessitate separate counsel for the corporations; (2) these new claims would lead to considerable new discovery; (3) they would result in additional motion practice; (4) this would involve cross-border service and evidence; and (5) it would include litigation of transactions that Plaintiff allegedly knew about prior to seeking these amendments. (Opp., p. 5:17-19.) The Court, however, finds these arguments to be unpersuasive and does not identify any unnecessary delay or prejudice.

First, the Court observes that the need for new corporate defendants to obtain counsel is irrelevant, as it does not demonstrate that the amendment would be prejudicial.

Second, while Shad's argument regarding the need for additional discovery and the potential for motion practice carries some weight, the Court observes that this case remains in its preliminary stages. The trial is not scheduled until September 20, 2028, indicating that Shad and the new defendants possess ample time to conduct discovery. Furthermore, the possibility of a motion in response to this proposed FAC is considered irrelevant, as any motion for leave to file an amended complaint could be denied based solely on the threat of a responsive motion.

Third, with respect to Shad's argument that the amendment would necessitate cross-border service and evidence, the Court does not consider this to be prejudicial. It is Ooshani who would bear the responsibility of serving any out-of-state or international defendants, not Shad. Furthermore, such evidence can be exchanged electronically once the new defendants are served.

Finally, regarding the litigation of new transactions that Ooshani allegedly knew about prior to seeking the amendment, the Court finds Shad's argument to be inadequately supported. He does not cite any evidence and fails to articulate how it would prejudice his case.

Accordingly, the Court GRANTS the motion.

ORDERS

1) Defendant and Cross-Complainant Amin Shad's Motion to Strike Improperly Filed Attorney-Client Privileged Communications, or, in the Alternative, to Limit their Use, and for Protective Relief, Including Sealing, if Necessary is DENIED.

2) Plaintiff and Cross-Defendant Ardalán Ooshani's Motion for Leave to File First Amended

Complaint is GRANTED.

3) Ooshani

is ordered to give notice of this Court's ruling.

IT IS SO ORDERED.

DATED: July 27, 2026

Tamara

Hall

Judge

of the Superior Court